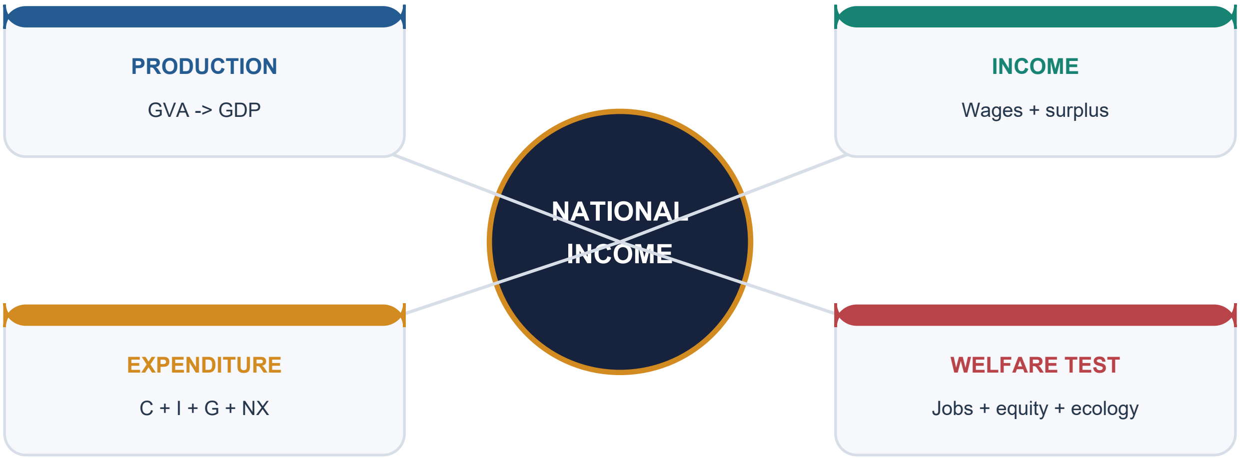
COMPLETE LEARNING SESSION

National Income: GDP, GVA, GNP, NDP and Measurement - Complete Topic Package

Economy | GS-III and Prelims | Foundation to advanced | Concepts, worked examples, traps, current linkage and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

National Income: GDP, GVA, GNP, NDP and Measurement - Complete Topic Package

Subject: Economy | **Paper:** GS-III

Complete foundation and advanced source

National Income: GDP, GVA, GNP, NDP and Measurement - MUST-DO

> **Subject:** Economy | **Tier:** Must-Do (foundation) | **GS Paper:** GS-III + Prelims. **Grounded in:** Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1. FACT: = source-grounded | ANALYSIS: = analytical linkage | CURRENT: = current Survey hook. *Companion:* `../advanced/01_National-Income-GDP-GVA-and-Measurement.md`.

1. Visual foundation

```
DOMESTIC output
GDP ---- minus depreciation ----> NDP
 |
 +---- plus net factor income from abroad (NFIA) ----> GNP
                                                        |
                                   minus depreciation
                                                        v
                                                       NNP
```

Core rule: domestic concepts follow the location of production; national concepts follow the income of normal residents.

2. Essential definitions

Measure	Definition	Formula
FACT: GDP	Final goods and services produced within domestic territory during a period	`C + I + G + (X-M)`
FACT: GVA	Value of output minus intermediate consumption	Sum of producer value added
FACT: NDP	Net domestic output after capital consumption	`GDP - depreciation`
FACT: GNP	GDP adjusted for net factor income from abroad	`GDP + NFIA`
FACT: NNP	Net national product	`GNP - depreciation`
FACT: Per-capita income	Average income per person	National income / population

> MEMORY: **Mnemonic: D = Domestic territory; N = Net of depreciation; National = residents.**

Concept in plain language

National-income aggregates answer different questions about the same economy:

1. **Where was production carried out?** GDP and NDP use the domestic-territory

test. Production inside India enters India's GDP even when the producer is a foreign-owned enterprise.

2. **Whose income is being measured?** GNP and NNP use the normal-residence test.

They adjust GDP by net factor income from abroad (NFIA).

3. **Has capital wear and tear been deducted?** Gross measures have not deducted

depreciation; net measures have.

4. **Are we valuing output at producer or purchaser prices?** GVA at basic prices

focuses on producer value added, while GDP at market prices includes net product taxes paid in the purchaser's price.

These are not competing measures. Each changes one boundary or valuation rule so that the analyst can answer a more precise question.

Worked conversion ladder

Assume the following simplified values:

Item	Value
GDP at market prices	1,000
Product taxes	120
Product subsidies	20
Depreciation	80
NFIA	-30

Step-by-step:

```
Net product taxes = 120 - 20 = 100
GVA at basic prices = GDP at market prices - net product taxes
                    = 1,000 - 100 = 900

NDP at market prices = GDP at market prices - depreciation
                     = 1,000 - 80 = 920

GNP at market prices = GDP at market prices + NFIA
                     = 1,000 - 30 = 970

NNP at market prices = GNP at market prices - depreciation
                     = 970 - 80 = 890
```

The negative NFIA means residents paid more factor income abroad than they received from abroad. Therefore, GNP is lower than GDP in this example.

3. GDP and GVA

```
GVA at basic prices
 + product taxes
 - product subsidies
 = GDP at market prices
```

- FACT: GVA shows the contribution of producers and sectors.
- FACT: GDP at market prices shows the value paid by final purchasers.
- ANALYSIS: GDP and GVA growth can differ when net product taxes change sharply.

4. Three methods of measurement

Method	Adds	Main caution
Production/value-added	Value added at every production stage	Avoid double counting
Income	Wages, profits, rent and mixed income	Capture informal activity
Expenditure	Consumption, investment, government demand and net exports	Exclude intermediate purchases

The three approaches should theoretically converge because one person's expenditure becomes another person's income and corresponds to produced output.

Why the three methods describe the same activity

Suppose a bakery produces bread worth Rs 50. On the **production side**, the bakery's contribution is its value added after subtracting flour and other intermediate inputs. On the **income side**, that value added becomes wages, rent, interest, profit and mixed income. On the **expenditure side**, the final purchase of bread is consumption expenditure. The same production event is therefore observed from three accounting windows.

In actual estimates, the totals do not match perfectly because surveys, administrative records, timing conventions and informal-sector estimates differ. The residual is shown as a statistical discrepancy; it is not a fourth source of economic output.

5. Nominal and real GDP

Measure	Prices used	Best use
Nominal GDP	Current-year prices	Size of the economy, debt/tax ratios
Real GDP	Constant/base-year prices	Volume growth over time
GDP deflator	Ratio of nominal to real GDP	Broad domestic price movement

```
GDP deflator = (Nominal GDP / Real GDP) x 100
```

Worked price-volume example

If nominal GDP rises from 100 to 112 while the GDP deflator rises from 100 to 108, most of the increase is not additional physical output. Real GDP in the second period is approximately `112 / 1.08 = 103.7`. Thus nominal growth is 12%, but real output growth is only about 3.7%.

This distinction is central to UPSC questions: **nominal GDP measures output at current prices, whereas real GDP attempts to isolate volume change**.

6. What is included and excluded?

Included

- FACT: Final goods and services produced during the accounting period.
- FACT: Imputed values used under national-accounting rules, where applicable.
- FACT: Government services valued mainly through production costs.

Excluded

- FACT: Intermediate goods when their value is already embedded in final output.
- FACT: Pure transfer payments because no current good/service is produced in return.
- FACT: Sale of an existing asset; only current brokerage or service value is added.
- FACT: Unpaid household work that lies outside the conventional production boundary.

7. Must-Know Facts for Prelims

- FACT: Gross measures include depreciation; net measures deduct it.
- FACT: GDP can exceed GNP when NFIA is negative.
- FACT: GDP is territorial; GNP is resident-income based.
- FACT: Real GDP removes price effects; nominal GDP does not.
- FACT: GVA is not GDP: net product taxes connect the two.
- FACT: Imports are subtracted because consumption/investment totals may include

foreign production.

8. UPSC traps

- WRONG: Every market transaction raises current GDP. -> Resale of an old asset does not.
- WRONG: A pension payment directly adds to GDP. -> It is a transfer payment.
- WRONG: Higher nominal GDP always means more output. -> It may reflect inflation.
- WRONG: GDP measures national welfare. -> It measures production, not distribution,

unpaid work, ecological loss or all aspects of well-being.

- WRONG: GNP must always exceed GDP. -> It depends on the sign of NFIA.

9. CURRENT: Economic Survey 2025-26 anchor

Indicator	Survey figure
FACT: Real GDP growth, FY26 First Advance Estimate	7.4%
FACT: Real GVA growth, FY26 First Advance Estimate	7.3%
FACT: PFCE share in GDP, FY26	61.5%
FACT: Services growth, FY26 FAE	9.1%
FACT: FY27 real GDP projection	6.8-7.2%

ANALYSIS: **Interpretation:** consumption remains the largest demand component, while the GDP-GVA difference reflects net product taxes. Always quote the period with the figure.

CURRENT: National-accounts series update — 27 February 2026

- FACT: MoSPI released a **new GDP series with base year 2022-23**, replacing 2011-12, with revised coverage, data sources and methods.
- FACT: The release provides annual and quarterly estimates from 2022-23; the comparable back-series was still pending at the 19 July 2026 cutoff.
- ANALYSIS: The FY26 FAE figures above are Survey-period estimates. Always identify the **series, estimate vintage and period** before comparing them with the new series.
- Source: MoSPI press note, 27 February 2026.

10. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; use the distinctions above for adjacent sector, growth and deficit questions. See the exact routing table in `../README.md`.

11. Mains angles

- ANALYSIS: Why GDP growth is necessary but insufficient for development.
- ANALYSIS: How base-year and methodology revisions improve measurement but can disrupt comparison with older series.
- ANALYSIS: Why India needs GDP/GVA data alongside employment, inequality, human development and environmental indicators.

> **Answer thesis:** GDP measures the value of domestic production; a sound growth assessment must then separate prices from volumes, GDP from GVA, and aggregate output from distribution, jobs and ecological sustainability.

12. Probable questions

- ANALYSIS: **Prelims:** Which adjustment converts GDP at market prices into GVA at basic prices, and which adjustment converts gross into net output?
- ANALYSIS: **Mains (10 marks):** Why can GDP and GVA tell different but complementary stories about the same year's growth?
- ANALYSIS: **Mains (15 marks):** Explain why a change of national-accounts base year improves relevance but demands careful treatment of historical comparisons.

13. Study links

- FACT: Advanced companion: `../advanced/01_National-Income-GDP-GVA-and-Measurement.md`.
- FACT: `02_Growth-Development-HDI-IHDI-and-MPI.md` — output versus welfare.
- FACT: `03_Inflation-Price-Indices-and-Business-Cycles.md` — deflators and price measurement.
- FACT: `26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md` — estimate vintage and macro interpretation.

National Income: GDP, GVA, GNP, NDP and Measurement - ADVANCED

Subject: Economy | **Tier:** Advanced | **GS Paper:** GS-III + Prelims. **Grounded in:** Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1; System of National Accounts concepts used in India's national accounting. FACT: = source-grounded | ANALYSIS: = analytical linkage | CURRENT: = current Survey hook. *Companion:* `../basic/01_National-Income-GDP-GVA-and-Measurement.md`.

1. Measurement Architecture

```
Production account          Income account          Expenditure account
Output                      Compensation            PFCE
- intermediate inputs       + operating surplus     + GFCE
= GVA                       + mixed income          + capital formation
                                                    + (exports-imports)
             \                  |                 /
              \_________________|________________/
                         Same economic activity
```

Statistical discrepancies arise because the three methods use different data sources, timing and estimation procedures.

2. Domestic territory vs normal residence

Test	Domestic measure	National measure
Governing principle	Location of production	Normal residence of income earner
Main aggregate	GDP/NDP	GNP/NNP
Adjustment	None for cross-border factor income	Add NFIA

NFIA = factor income received from abroad - factor income paid abroad.

Remittances that are personal transfers are recorded differently from factor or primary income. Do not treat every inward remittance as NFIA.

3. Gross, net, basic and market prices

Distinction	Adjustment
Gross -> Net	Subtract consumption of fixed capital/depreciation
GVA at basic prices -> GDP at market prices	Add product taxes; subtract product subsidies
Nominal -> Real	Deflate with appropriate price indices/base-year prices

- FACT: **Production taxes/subsidies** relate to production activity.
- FACT: **Product taxes/subsidies** relate to units of goods/services and bridge GVA

at basic prices with GDP at market prices.

- ANALYSIS: A tax cut can narrow GDP growth relative to GVA growth even when underlying

production is unchanged.

4. Expenditure-side components

Component	Meaning	Analytical use
PFCE	Household/private consumption	Consumption strength
GFCE	Government final consumption	Government current-service demand
GFCF	Fixed capital formation	Investment/capacity creation
Change in stocks	Inventory accumulation or drawdown	Business-cycle signal
Valuables	Acquisitions such as precious assets under SNA treatment	Saving/asset preference
Net exports	Exports minus imports	External contribution to demand

MEMORY: **Trap:** Government capital expenditure is not the same as GFCE. Capital expenditure can create assets and enters capital formation; GFCE measures government consumption of current services.

5. Value added and double counting

Example:

Stage	Sale value	Intermediate input	Value added
Farmer sells wheat	20	0	20
Miller sells flour	35	20	15
Baker sells bread	50	35	15
Total	105	-	**50**

GDP counts the final bread value of 50 or the sum of value added (20+15+15), not all sales of 105.

6. Real growth, deflation and base-year revision

- FACT: Constant-price estimates separate output-volume change from price change.
- FACT: Different sectors require suitable deflators; one economy-wide price index cannot perfectly represent every activity.
- FACT: Base-year revision updates prices, weights, databases, classifications and coverage as the economy changes.
- ANALYSIS: A new series can alter levels and growth rates because both the base and methodology change; this does not automatically imply manipulation.
- ANALYSIS: Informal-sector estimation, rapidly changing digital services and quality improvements remain difficult measurement areas.

7. GDP deflator vs CPI/WPI

Index	Coverage	Imports	Weights
GDP deflator	Domestically produced final output	Excluded as foreign output	Current composition
CPI	Household consumption basket	Can include imported consumer goods	Fixed/revised basket
WPI	Mainly wholesale goods	Includes relevant traded goods	Fixed/revised basket

The GDP deflator is broader than CPI in domestic output coverage but is not a cost-of-living index.

8. Limits of GDP as a welfare measure

```
GDP growth
  |
  +-- says: output expanded
  |
  +-- does not by itself say:
        distribution | job quality | unpaid care | health | learning
        ecological damage | safety | leisure | institutional quality
```

- ANALYSIS: Per-capita GDP corrects for population size but not inequality.
- ANALYSIS: Disaster reconstruction can add to GDP although the original welfare loss is not subtracted fully.
- ANALYSIS: Resource depletion may raise current output while reducing future wealth.
- ANALYSIS: HDI, IHDI, MPI, employment and environmental accounts complement GDP; they do not replace the need to measure production.

How to evaluate GDP without dismissing it

The correct conclusion is not that GDP is useless. GDP remains indispensable for tracking production, business cycles, tax capacity, debt ratios and sectoral change. The limitation is narrower: GDP cannot by itself reveal who received the income, whether jobs were secure, whether unpaid care increased, or whether natural wealth was depleted. A balanced answer therefore uses GDP as the production anchor and adds distributional, employment, human-development and environmental indicators.

9. Advanced Prelims traps

- WRONG: NFIA equals all remittances. -> Personal transfers and primary income differ.
- WRONG: GVA at basic prices already includes product taxes. -> Product taxes are added when moving to GDP at market prices.
- WRONG: GDP deflator includes imported production. -> It covers domestic output.
- WRONG: A rise in inventories always means healthy demand. -> It may be intended accumulation or unsold stock.
- WRONG: Depreciation is a cash payment made during the year. -> It is an accounting estimate of fixed-capital consumption.

10. CURRENT: Survey-based analytical reading

FACT: The Economic Survey 2025-26 reports FY26 FAE growth of **7.4% for real GDP** and **7.3% for real GVA**, with PFCE at **61.5% of GDP**.

ANALYSIS: Use these figures in three steps:

1. **State the period and estimate type:** FY26, First Advance Estimate.
2. **Identify the driver:** strong private consumption and services.
3. **Add the caveat:** advance estimates are revised as fuller data arrive.

Series-break discipline after 27 February 2026

- FACT: MoSPI's new national-accounts series uses **2022-23 as base year**, replacing 2011-12, and introduces revised sources/coverage/methods.
- FACT: Estimates from 2022-23 onward were released; a comparable back-series was not yet available at the 19 July 2026 cutoff.
- ANALYSIS: Do not splice growth levels across the two series without the official back-series. Label every number by base, estimate vintage and reference period.
- Source: MoSPI press note.

11. Mains-ready frameworks

Central thesis: National accounts measure production through consistent identities, but a credible growth assessment must preserve price, coverage and estimate-vintage distinctions and test output against jobs, distribution and sustainability.

"GDP is necessary but insufficient"

1. GDP measures production and fiscal capacity.
2. Per-capita and sectoral GVA reveal scale and structure.
3. Employment and distribution determine inclusiveness.
4. Human-development indicators capture capabilities.
5. Environmental accounts capture sustainability.

"Improving India's national accounts"

- More frequent enterprise and household surveys.
- Better informal-sector and gig/digital-economy measurement.
- Transparent back-series and revision policy.
- Stronger state-level GSDP capacity.
- Satellite accounts for environment, health, care and digital activity.

12. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; see the exact route audit in `../README.md`.

13. Probable questions

- ANALYSIS: **Prelims:** Differentiate GDP, GVA, GNP, NDP, nominal GDP and real GDP.
- ANALYSIS: **Mains:** "India's growth debate should move from the rate of GDP growth to the composition, employment intensity and sustainability of growth." Discuss.
- ANALYSIS: **Mains:** Explain why revisions in base year and national-accounting methodology are necessary, while examining the challenges they create for comparability and public trust.

14. Study links

- FACT: Foundation companion: `../basic/01_National-Income-GDP-GVA-and-Measurement.md`.
- FACT: `02_Growth-Development-HDI-IHDI-and-MPI.md` — welfare complements to output.
- FACT: `03_Inflation-Price-Indices-and-Business-Cycles.md` — deflators, CPI and WPI.
- FACT: `26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md` — estimates, revisions and macro dashboard use.

Solved topic-specific MCQs

Q1. Which statement correctly resolves the claim that every market transaction raises current GDP?

- A. Resale of an old asset does not.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. Higher nominal GDP always means more output.

Answer: A Explanation: GDP records current production. Reselling an existing house or machine merely transfers ownership; only a current service such as brokerage is included.

Q2. Why does a pension payment not directly add to current GDP?

- A. A pension payment directly adds to GDP.
- B. It is a transfer payment.
- C. Higher nominal GDP always means more output.
- D. GDP measures national welfare.

Answer: B Explanation: A pension redistributes purchasing power without receiving a currently produced good or service in exchange. Any later consumption financed by that pension enters GDP through the purchased output.

Q3. Nominal GDP increases by 10% while the relevant price level increases by 7%. Which conclusion is most appropriate?

- A. Higher nominal GDP always means more output.
- B. GDP measures national welfare.
- C. It may reflect inflation.
- D. GNP must always exceed GDP.

Answer: C Explanation: Nominal GDP combines price and volume changes. The data are consistent with only a modest increase in real output; a deflator is needed before interpreting the rise as production growth.

Q4. Which statement best describes the relationship between GDP and welfare?

- A. GDP measures national welfare.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. GDP measures production but not distribution, unpaid work or ecological loss.

Answer: D Explanation: GDP is a production aggregate. Welfare analysis requires additional information on income distribution, employment, capabilities, unpaid care, safety and environmental sustainability.

Q5. When can GDP exceed GNP?

- A. It depends on the sign of NFIA.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. GVA at basic prices already includes product taxes.

Answer: A Explanation: `GNP = GDP + NFIA`**. When factor income paid abroad exceeds factor income received from abroad, NFIA is negative and GNP is below GDP.**

Q6. Why should inward personal remittances not automatically be added as NFIA?

- A. NFIA equals all remittances.
- B. Personal transfers and primary income differ.
- C. GVA at basic prices already includes product taxes.
- D. GDP deflator includes imported production.

Answer: B Explanation: NFIA concerns primary or factor income associated with labour and capital. Personal transfers are recorded separately in external accounts and cannot all be treated as compensation or property income.

Q7. Which adjustment converts GVA at basic prices into GDP at market prices?

- A. GVA at basic prices already includes product taxes.
- B. GDP deflator includes imported production.
- C. Add product taxes and subtract product subsidies.
- D. Every market transaction raises current GDP.

Answer: C Explanation: The purchaser's market price includes product taxes and is reduced by product subsidies. Therefore, `GDP at market prices = GVA at basic prices + product taxes - product subsidies`**.**

Q8. Why does the GDP deflator exclude imported production?

- A. GDP deflator includes imported production.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. It covers domestic output.

Answer: D Explanation: The GDP deflator is derived from nominal and real GDP, both of which measure domestically produced final output. Imported goods can enter the CPI basket but are not domestic production.

Q9. A farmer sells wheat for 20, a miller sells flour for 35, and a baker sells bread to consumers for 50. What is the contribution to GDP?

- A. 50, equal to final output or the sum of value added.
- B. 105, equal to all recorded sales.
- C. 85, after removing the farmer's sale.
- D. 15, equal only to the baker's value added.

Answer: A Explanation: Counting all sales would count intermediate wheat and flour again. GDP is either the final bread value of 50 or value added of `20 + 15 + 15 = 50`**.**

Q10. Which change directly converts a gross aggregate into its corresponding net aggregate?

- A. Add NFIA.
- B. Subtract consumption of fixed capital.
- C. Subtract imports.
- D. Add product taxes.

Answer: B Explanation: Gross measures include depreciation. Deducting consumption of fixed capital gives the corresponding net measure, such as GDP to NDP.

Q11. A large unintended accumulation of inventories can indicate:

- A. Strong household welfare by definition.
- B. A rise in NFIA.
- C. Production exceeding realised demand.
- D. A fall in nominal GDP by definition.

Answer: C Explanation: Inventory accumulation enters investment, but unintended stocks may signal that firms produced more than consumers purchased. Interpretation therefore requires demand and business-cycle context.

Q12. Which combination is best for judging whether GDP growth is inclusive and sustainable?

- A. GDP growth alone.
- B. Nominal GDP and the exchange rate alone.
- C. GDP deflator and WPI alone.
- D. Real per-capita output with employment, distribution, human-development and environmental indicators.

Answer: D Explanation: GDP supplies the production anchor, while the accompanying indicators test whether growth improved livelihoods, capabilities and future productive capacity.

Solved answer-writing practice

10 marks — Explain the central distinctions among GDP, GVA, GNP and NDP. Answer in 150 words.

Model solution

National-income aggregates differ by production boundary, income ownership, capital consumption and valuation.

- **GDP** measures final output produced within domestic territory.
- **GVA** measures producer value added: output minus intermediate consumption.

GDP at market prices is obtained by adding product taxes and subtracting product subsidies from GVA at basic prices.

- **GNP** shifts from territory to normal residents by adding net factor income

from abroad to GDP.

- **NDP** deducts depreciation from GDP and therefore indicates output net of

fixed-capital consumption.

The distinctions prevent analytical errors. GDP and GVA may grow differently when net product taxes change; GDP may exceed GNP when NFIA is negative; and a gross measure can overstate the output available after replacing worn-out capital. Thus, UPSC answers should identify whether the question concerns location, residence, valuation or depreciation before selecting an aggregate.

15 marks — Explain the three methods of measuring national income and the practical reasons for statistical discrepancy. Answer in 250 words.

Model solution

National income can be measured through production, income and expenditure because each method observes the same circular flow from a different side.

Production method: It sums value added across activities. Intermediate consumption is deducted from output to avoid double counting. It is especially useful for sectoral GVA, but informal production and suitable deflators are difficult to estimate.

Income method: It sums compensation of employees, operating surplus, mixed income and relevant production income. It shows how value added is distributed among factors, but under-reporting and mixed household-enterprise accounts create measurement problems.

Expenditure method: It adds private and government final consumption, capital formation, inventory change and net exports. Imports are subtracted because some domestic expenditure purchases foreign output.

The three estimates should theoretically converge: final expenditure purchases produced output, and the value added becomes income. In practice, they use different surveys, tax records, company filings, price indices and reporting periods. Informal activity, revisions, inventory valuation and timing differences produce a statistical discrepancy.

India should reduce—not conceal—the discrepancy through better enterprise and household surveys, integrated administrative data, supply-use tables, transparent revision schedules and stronger state statistical capacity.

20 marks — "GDP growth is necessary but insufficient for judging development." Critically examine. Answer in 300 words.

Model solution

GDP growth remains necessary because it measures the expansion of domestic production. Sustained real growth enlarges employment possibilities, tax capacity, infrastructure financing and the resources available for welfare. Sectoral GVA also reveals structural transformation, while per-capita output adjusts aggregate growth for population.

However, GDP is insufficient as a development measure.

1. **Distribution:** Aggregate output can rise while income and wealth gains remain concentrated.
2. **Employment:** Capital-intensive growth may produce limited or insecure jobs.
3. **Non-market work:** Unpaid care and household work remain outside the conventional production boundary.
4. **Human capabilities:** GDP does not directly measure health, learning, nutrition, safety or agency.
5. **Environment:** Resource depletion and pollution can accompany current output, while defensive or reconstruction expenditure may raise GDP.
6. **Quality and informality:** Rapid digital change, informal activity and service quality are difficult to capture precisely.

Yet replacing GDP with a single "happiness" measure would also be inadequate. Production must still be measured consistently for fiscal, monetary and business-cycle policy. The appropriate approach is a dashboard: real per-capita GDP and sectoral GVA alongside employment, consumption distribution, HDI/IHDI, MPI, gender indicators and environmental or natural-capital accounts.

Therefore, GDP should be treated as the economy's production anchor—not as a complete social report card. Development policy succeeds when higher output is converted into broad capabilities, decent work and sustainable wealth.

Final consolidated register notes

Identity ladder

- `GDP = C + I + G + (X - M)` on the expenditure side.
- `GVA = output - intermediate consumption`.
- `GDP at market prices = GVA at basic prices + product taxes - product subsidies`.
- `NDP = GDP - depreciation`.
- `GNP = GDP + NFIA`.
- `NNP = GNP - depreciation`.

Boundary rules

- **Domestic** follows the location of production; **national** follows normal residence.

- **Gross** includes consumption of fixed capital; **net** deducts it.
- Final output is counted; intermediate inputs are excluded when embedded in final value.
- Transfer payments do not directly represent current production.
- Resale of an existing asset is excluded, but current brokerage services count.
- Unpaid household work remains outside the conventional production boundary.

Measurement logic

- Production, income and expenditure methods observe the same circular flow.
- Value-added accounting prevents double counting.
- Imports are deducted because consumption and investment can include foreign production.
- Statistical discrepancy arises from different data sources, timing and estimation—not from extra output.

Prices and growth

- Nominal GDP uses current prices; real GDP removes estimated price effects.
- The GDP deflator covers domestically produced final output and is not a cost-of-living index.
- A base-year revision updates prices, weights, classifications, sources and coverage; comparisons require a consistent back-series.
- Quote the base year, reference period and estimate vintage with current data.

Interpretation and welfare

- GDP and GVA can diverge when net product taxes change.
- GDP may exceed GNP when NFIA is negative.
- Per-capita GDP adjusts for population but not inequality.
- GDP measures production, not the complete welfare consequences of production.
- Use GDP with employment, distribution, HDI/IHDI, MPI and environmental indicators.

Current anchor and answer spine

- FACT: MoSPI released the new national-accounts series with base year 2022-23 on 27 February 2026, replacing 2011-12.
- ANALYSIS: Do not splice old- and new-series levels without an official comparable back-series.
- **Mains spine:** define the aggregate -> state the accounting identity -> explain the analytical use -> identify the measurement limit -> add complementary indicators -> conclude with a balanced judgement.

End of document